Financial Transaction Tax

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This annex argues that an EU-wide financial transaction tax (FTT) could be a workable component of a package of new own resources, provided it is designed narrowly and pragmatically. The proposal is not to revive the broad 2011–2013 European FTT, which proved politically fragile. Instead, it proposes a pragmatic equity transfer tax, modelled on instruments already in force in major financial markets, including the UK stamp duty and the French, Italian and Spanish FTTs, as well as comparable instruments outside Europe. These examples show that a well-designed FTT can be implemented in open, sophisticated and highly internationalised financial markets without undermining their functioning.

The proposal is to introduce a harmonised EU tax on transfers of ownership of shares issued by companies incorporated in Member States, at a rate of 0.5%, in line with the UK stamp duty. Primary market issuance and genuine market-making activities could remain exempt, as in existing national schemes. The tax would be based on a robust legal and operational design: it would be attached to the security itself, rather than to the location of the broker, the trading venue or the investor. This is the key lesson from existing FTTs: such taxes can work, but only if they are carefully designed so as to limit avoidance and ensure enforceability.

This narrower design is precisely why the proposal may be more feasible than earlier European attempts. It avoids the most contentious elements of the former Commission proposal, notably the taxation of bonds, derivatives, foreign-exchange transactions and all gross intraday transactions. The present proposal therefore does not seek to reopen the full debate on a comprehensive European FTT. It focuses instead on the most operationally tested component: an issuance-based tax on equity transfers, while leaving broader extensions, in particular the taxation of intraday transactions and other securities transactions, for a later stage.

Under conservative assumptions, the proposed EU equity transfer tax would raise approximately EUR 6.5–8.3 billion per year. The revenue estimate is deliberately very prudent. It does not rely on speculative assumptions. Instead, it is anchored in the observed performance of the French FTT in 2024 and then applied to equity trading volumes in other Member States. This approach incorporates, by construction, the existing exemptions, leakages and the narrow effective tax base observed in France, including the exclusion of intraday transactions.

In sum, an EU equity transfer tax would be theoretically grounded, technically feasible, fiscally useful and fair. It would not solve all budgetary challenges, and it should not be oversold. But as one component of a broader package of new own resources, it has a strong comparative advantage: it is based on a tested instrument, it targets a highly concentrated and undertaxed tax base.

The following sections provide the detailed background supporting this proposal. They first present the design and rationale of the equity transfer tax, before reviewing existing national policies and the earlier European FTT project. They then set out the revenue-estimation methodology and Member State-level results,

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respond to common objections, review public opinion, and finally discuss possible extensions, notably to intraday transactions.

1 A pragmatic design for an EU FTT

FTTs are neither new nor untested. They have existed for centuries and remain in force in several major financial centres. The relevant question is therefore not whether an FTT can exist, but how it should be designed (Capelle-Blancard, 2024a).

The proposal considered here has four core design features. First, it would apply only to transfers of ownership of shares, not to all financial transactions. The taxable event would be the legal transfer of ownership, recorded through settlement or end-of-day net acquisition, rather than every order or intraday trade. Second, it would follow the issuance principle: the tax would apply to shares issued by companies incorporated in EU Member States, irrespective of where the transaction takes place or where the investor is resident. Third, it would be levied at a moderate rate of 0.5%, in line with the UK stamp duty. Fourth, it would preserve standard exemptions for primary issuance and genuine market-making activities.

These design choices are intended to make the tax administratively feasible, legally robust and politically more acceptable than a comprehensive FTT. They also explain why this proposal differs from the broader 2011–2013 European FTT project: it starts with the most operationally tested part of the tax base, while leaving intraday transactions and other financial instruments for possible later extensions.

The most important of these design features is the issuance principle. Under this principle, the tax applies to transactions in shares issued by companies incorporated in the taxing jurisdiction, regardless of the residence or nationality of the investor and regardless of where the transaction takes place. This is the logic underpinning the UK stamp duty and the French FTT. It is crucial for enforceability: the tax is linked to the legal transfer of ownership of securities, not to the location of the trading platform or intermediary. This design considerably limits avoidance opportunities and explains why such taxes can be maintained even in highly internationalised financial markets (Capelle-Blancard & Persaud, 2025).[1]

Administrative and legal feasibility is a central reason for choosing this design. The proposal does not require creating a tax on all financial transactions from scratch. It builds on existing settlement, reporting and securities-registration infrastructures. Because the taxable event is the legal transfer of ownership of issued shares, collection can rely on the institutions that already record, settle or report these transfers. From a legal perspective, the key issues are therefore the definition of the taxable event, the territorial connecting factor, the scope of exemptions and the organisation of reporting and collection obligations (Correia, 2025).

A public reporting architecture would have important advantages. Rather than relying solely on private intermediaries to aggregate and transmit taxable transactions, the EU could require standardised reporting to the relevant tax authority, market supervisor or a designated public repository. This would create a more complete and uniform record of taxable equity transfers across Member States. It would also improve the traceability of transactions, facilitate administrative control, and reduce the risk that differences in national reporting systems create loopholes or uneven enforcement. In this sense, the collection mechanism would not merely be an administrative tool; it would also strengthen market transparency and supervisory

[1] The possibility that some new firms might incorporate outside the EU to avoid the tax cannot be entirely ruled out, but it is unlikely to be a major margin of avoidance. The tax would apply only to secondary-market transfers of shares, not to primary issuance, and its rate would be very low relative to the legal, fiscal, regulatory and governance costs associated with incorporating outside the firm's main economic area. For most firms, access to investors, legal certainty, listing conditions and corporate taxation are far more important than a modest tax on future share transactions.

capacity.

Harmonisation would still be needed at EU level, but the administrative and legal challenge is much more limited than for a comprehensive FTT covering derivatives, foreign exchange or crypto-assets.

Beyond the fiscal case, the proposal also has an established economic rationale. Keynes, and later Tobin and Stiglitz, argued in different contexts that very short-term financial trading may generate private gains without always contributing to the social usefulness of financial markets. The point is not to obstruct market functioning, but to ensure that a modest share of the gains from highly liquid financial-market activity contributes to public revenue, while discouraging the most socially unproductive forms of short-term trading.

For the purpose of new EU own resources, the fiscal argument is central. The proposed FTT would raise revenue from secondary-market financial activity, rather than from labour income, ordinary consumption or primary corporate financing. This matters for both efficiency and fairness: the tax would target a large, concentrated and relatively undertaxed base, while leaving primary issuance outside its scope. It would therefore not tax firms when they raise new equity capital. Existing evidence on the French FTT suggests that a low-rate equity tax can reduce trading volumes moderately, by around 10–20%, without significant effects on market liquidity or volatility. The proposal is therefore not to weaken EU capital markets, but to tax a narrow segment of financial activity in a way that preserves their core functions.

This makes the proposal intentionally pragmatic. Rather than reviving the broader and more politically contentious idea of taxing all financial instruments, it builds on what already exists and works: a narrow, enforceable levy on equity transfers, based on the issuance principle, at a low nominal rate, with standard exemptions for primary issuance and market-making activities where appropriate. This approach would allow the EU to create a new own resource from a tried-and-tested tax instrument, while avoiding many of the objections usually directed at more comprehensive versions of the FTT.

2 Existing national policies

The proposed EU own resource would not be created in a vacuum. Several European countries already tax financial transactions, and the most relevant examples are not marginal cases: they include the United Kingdom, France, Italy and Spain.

The United Kingdom remains the main benchmark. Its stamp duty on share transactions dates back to 1694 and is still in force. It applies at a rate of 0.5% to purchases of shares issued by UK companies. The UK stamp duty raises £4.32 billion in 2024–25, illustrating that such instruments can provide stable and non-negligible revenues. The key feature of the British model is the issuance principle: the tax applies because the share is issued by a UK company, irrespective of the nationality or residence of the investor and irrespective of where the transaction is executed. Primary market issuances, market-making activities and shares listed on the Alternative Investment Market are exempt. The UK experience is particularly important because it shows that a major financial centre can maintain a sizeable equity transaction tax over a very long period without undermining the development of its financial sector.

France introduced its current FTT in 2012. The French tax also follows the issuance principle. It applies to acquisitions of shares issued by companies whose registered office is in France and whose market capitalisation exceeds EUR 1 billion.[2] The tax is paid by the buyer and it is calculated on net acquisitions recorded at the end of the trading day. This means that the French FTT is not, strictly speaking, a tax on transactions,

[2]The list of companies subject to the tax is updated annually.

but a tax on transfers of ownership. Intraday transactions that are opened and closed within the same day are therefore effectively excluded from the tax base.[3] The rate of the French FTT was initially 0.2%, then increased to 0.3% in 2017, and 0.4% in 2025. The French case is especially useful for the present proposal because it shows how a modern equity FTT can be implemented unilaterally, even in an open financial market.

Italy introduced a similar tax in 2013, shortly after France. It applies to shares of Italian companies above a market-capitalisation threshold of EUR 500 million. The Italian design is broader in some respects, since it also includes a tax on derivatives and a specific component targeting high-frequency trading. It also differentiates between transactions executed on regulated markets and those executed elsewhere: the rate is 0.2% for transactions on regulated markets and 0.4% otherwise (since 2026). This feature is important because it can encourage trading to move towards more transparent and regulated venues. Italy therefore illustrates a possible refinement of the French model, even though the proposal considered here remains focused on a simple equity transfer tax.

Spain reintroduced an FTT in 2021, after having abolished an earlier tax in 1988. The Spanish tax follows the same broad family of instruments as the French and Italian taxes: it focuses on equity transactions and provides another recent example of a Member State implementing an FTT independently. Together, the French, Italian and Spanish cases show that unilateral implementation within the EU is feasible and that such taxes do not require a fully global agreement in order to operate.

Other European countries also have FTTs. Belgium has had a tax on stock-exchange transactions since 1913. Its design, however, differs from the British, French and Italian models. It is linked to the involvement of a Belgian financial institution or to Belgian-resident investors, and it appears easier to circumvent than systems based on the issuance principle. Ireland also applies a stamp-duty-type tax, introduced in 1937 on the British model, with a rate of 1%. Existing work also identifies Finland, Poland, Cyprus and Malta among European countries with FTT-type instruments. These cases confirm that securities transaction taxes are not exceptional within Europe, although their design, scope and revenue performance vary substantially.[4]

Beyond Europe, securities transaction taxes are also widely used in several Asian markets, including Hong Kong, South Korea, China, Taiwan and India. This is important because these are not marginal or stagnant markets: several of them are among the most active equity markets in the world, and their experience shows that transaction taxes can coexist with highly dynamic trading activity, while generating substantial revenues.

Overall, the international landscape is heterogeneous. Some instruments, such as the UK stamp duty, the French FTT or the Spanish FTT, are close to an issuance-based equity transfer tax. Others are broader securities transaction taxes, stamp duties or financial transaction taxes applying to different instruments or market segments.[5]

[3]The French FTT formally has three components: a tax on share transfers, a tax on high-frequency trading, and a tax on naked sovereign credit default swaps. In practice, however, only the first component is effective. The high-frequency trading component is too narrow to generate meaningful revenue, while the naked CDS component became largely irrelevant after EU restrictions on such transactions.

[4]Several European countries previously levied similar taxes but later abolished them, notably the Netherlands in 1990, Germany and Sweden in 1991, Norway in 1993, Denmark in 1999 and Austria in 2000. These historical precedents should be interpreted with caution, as the abolished taxes often differed substantially in design from issuance-based equity transfer taxes such as the UK stamp duty or the French FTT.

[5]Two additional cases are worth mentioning, although they are not directly comparable to the core equity-transfer taxes discussed above. Finland is sometimes included in broad inventories of securities transfer taxes because it applies a relatively high transfer tax to corporate shares and other securities. However, listed shares traded on the stock exchange are usually exempt, so the Finnish case should not be interpreted as a standard equity-market FTT. The United States provides a different example: Section 31 fees are a regulatory transaction fees used to finance the Securities and Exchange Commission. They are politically relevant because they show that even the US system accepts transaction-based levies on securities markets when they are linked to market supervision.

Table 1.1 provides an illustrative overview of selected existing taxes on equity and securities transactions, without attempting to provide an exhaustive or fully harmonised taxonomy.

A specific political-economy issue arises for Member States that already levy such taxes. Their likely reaction would depend on whether an EU-wide FTT is designed as a replacement for existing national schemes or as a harmonised EU component built on top of, or alongside, them. These countries are unlikely to object to the principle of taxing equity transactions, since they already do so. However, they may be reluctant to transfer existing national revenues entirely to the EU budget.

There is no fully neutral solution to this problem. Temporary retention of national receipts would only postpone the adjustment, while country-specific credits could weaken the equal treatment of Member States. A more coherent response would be to complement the EU own resource with national extensions to offset the loss of revenue (to the EU budget) for countries that already tax financial transactions. The core EU instrument would remain a harmonised, issuance-based tax on equity ownership transfers. This is the simplest and most tested design, and the one most consistent with existing successful schemes.

At the same time, Member States that already levy an FTT would broaden their national schemes beyond the core equity-transfer base, notably towards intraday equity transactions or equity derivatives. Such extensions would make economic sense: the current French-type design leaves many very short-term transactions outside the effective tax base, and equity derivatives may be close substitutes for taxed share transactions. They could therefore provide additional national revenue and reduce avoidance margins.

Even independently of the own-resource debate, greater harmonisation of national FTTs within the EU would be desirable. France, Italy and Spain already operate broadly comparable equity-FTT schemes, and a similar framework could in principle be extended to other Member States, including Germany. Such harmonisation would reduce fragmentation, clarify the tax base, and strengthen the case for a future EU-level own resource.

The main lesson from existing national policies is clear. The success of an FTT depends less on the abstract principle of taxing financial transactions than on the details of its design. Taxes based only on the location of the intermediary or the trading venue are more vulnerable to avoidance. By contrast, taxes based on the issuance principle are more robust because the tax follows the security itself. The EU proposal examined here should therefore draw primarily on the UK, French, Italian and Spanish experiences, while avoiding the weaknesses of more easily circumvented systems.

Table 1.1: Selected existing taxes on equity and securities transactions

Jurisdiction	Equity	Bonds/oth.	Derivatives	Main rate	Revenue, EUR equiv.	Remarks
Panel A. Europe						
France	Yes	–	–	0.4% from 2025	EUR 1.86bn 2024	Issuance-based tax on acquisitions of shares issued by large French companies. The 2024 revenue refers to the former 0.3% rate. The formal HFT and naked sovereign CDS components generate little or no meaningful revenue.
Italy	Yes	–	Yes	0.2–0.4% equity	c. EUR 0.5bn indicative	Broader than the French design, with equity transfers, derivatives and a formal HFT component. The revenue figure should be treated cautiously pending a fully comparable official series.
Spain	Yes	–	–	0.2%	n.a.	Modern equity FTT introduced in 2021. Close to the French model, with a tax on acquisitions of shares in large Spanish companies.
Belgium	Yes	Yes	–	0.12–1.32%	c. EUR 0.43bn 2023	Tax on stock-exchange transactions. The base is broader than equity alone and depends on the type of instrument. Less close to a pure issuance-based equity transfer tax.
Finland	Lim.	–	–	1.5%	n.a.	Transfer tax on corporate shares and other securities, but listed shares traded on the stock exchange are usually exempt. The high headline rate is therefore not directly comparable to equity-market FTTs such as the UK, French, Italian or Spanish schemes.
Ireland	Yes	Yes	Lim.	1%	c. EUR 0.54bn 2025	Stamp-duty-type tax on transfers of shares, stocks and marketable securities. Close in spirit to the UK model, but with a higher headline rate.
Greece	Yes	–	–	0.1%	n.a.	Tax on sales of shares listed on a Greek regulated market or multilateral trading facility. The rate was reduced from 0.2% to 0.1% from 2024.
United Kingdom	Yes	–	–	0.5%	c. EUR 5.1bn GBP 4.32bn 2024–25	Main benchmark for an issuance-based equity transfer tax. The tax is attached to UK-issued shares and collected through established settlement and registration mechanisms.
Switzerland	Yes	Yes	–	0.15% / 0.30%	c. EUR 1.6bn CHF 1.53bn 2025	Securities transfer stamp tax on purchases and sales of Swiss and foreign securities when a Swiss securities dealer acts as contracting party or intermediary.
Panel B. Rest of the world						
Hong Kong	Yes	–	–	0.1% + 0.1%	c. EUR 6.2bn HKD 52bn 2024–25	Stamp duty on both purchase and sale notes. Useful benchmark because it raises substantial revenue in a highly active international equity market.
South Korea	Yes	–	Yes	c. 0.20% listed; 0.35% other	c. EUR 3.3bn KRW 4.8tn 2024	Securities transaction tax on transfers of Korean shares. Rates differ by market segment and changed repeatedly. Derivatives are covered by a separate capital gain tax.
China	Yes	–	–	0.05%	c. EUR 16bn RMB 127.6bn 2024	Stamp duty on stock transactions, currently levied on the seller only. Revenue is very large in absolute terms. Difficult to have detailed information.
Taiwan	Yes	Lim.	Yes	0.3%	c. EUR 8.3bn NTD 288bn 2024	Securities transaction tax on sellers of securities. Bond taxation is limited or suspended for some instruments; derivatives are covered by a separate futures transaction tax.
India	Yes	–	Yes	0.1% delivery; 0.025% intraday; derivatives vary	n.a.	Securities transaction tax on exchange-traded equity and derivatives. The design distinguishes delivery-based equity trades, intraday equity trades and derivatives.
South Africa	Yes	–	–	0.25%	n.a.	Securities transfer tax on transfers of listed and unlisted securities.

Jurisdiction	Equity	Bonds/oth.	Deriv.	Main rate	Revenue, EUR equiv.	Remarks
United States	Lim.	–	Lim.	USD 20.60 per million from Apr. 2026	USD 2.15bn FY2026 target	Section 31 fee on covered securities sales, paid by exchanges and FINRA/SROs and generally passed through to broker-dealers and customers. This is a regulatory transaction fee used to finance the SEC. Politically relevant because it shows that transaction-based levies exist even in the US market.

Notes: The table is illustrative rather than exhaustive. “Equity” refers to taxes on purchases, sales or transfers of shares or comparable equity securities. “Bonds/oth.” refers to bonds or other securities. “Deriv.” refers to derivatives. A dash means that the instrument is not part of the main effective tax base. “Form.” indicates that a formal provision exists, but that it is not a major component of the effective tax base or revenue. Revenue figures are approximate euro equivalents and are not directly comparable across jurisdictions, since tax bases, exemptions, fiscal years, exchange rates and budgetary classifications differ. “n.a.” means that no sufficiently comparable revenue figure is reported here, not that the tax raises no revenue. “Lim.” indicates that the instrument exists only for a limited segment of the relevant market, or that it is not directly comparable to a standard equity-market FTT.

3 The (former) European FTT project

The idea of a European financial transaction tax gained renewed political momentum after the 2007–2008 financial crisis. The crisis strengthened the view that the financial sector should make a fairer contribution to public finances and that new fiscal instruments could also help discourage socially unproductive short-term trading. The European Parliament called on the Commission to examine the issue in 2010, and the initiative was then strongly supported by France and Germany. In September 2011, the European Commission adopted a proposal for a Council directive establishing a common system of financial transaction tax across the European Union.

The Commission proposal was deliberately ambitious (Gabor, 2016). Its objective was not merely to create a new source of revenue, but also to harmonise existing national approaches, prevent fragmentation of the Single Market, ensure a fair contribution from the financial sector, and discourage transactions considered not to contribute to the economy. The proposal was based on a broad tax base and low rates. It would have applied to secondary-market transactions involving financial institutions, with minimum rates of 0.1% for shares and bonds and 0.01% for derivatives. The Commission described the approach as applying to all markets, all instruments and all actors. In particular, the proposed tax would have applied to gross transactions before netting and settlement, thereby including intraday transactions.

The expected revenue was substantial. For the EU as a whole, the Commission estimated that the proposal could raise around EUR 57 billion per year. Other estimates for the eleven Member States later involved in the enhanced cooperation procedure suggested annual revenues of around EUR 30–35 billion. These figures reflected the breadth of the initial proposal: a large share of expected revenue came not from the taxation of equity transactions alone, but from the inclusion of bonds and, especially, derivatives.

The project immediately encountered strong opposition. Because taxation requires unanimity in the Council, the proposal could not be adopted at EU-wide level. Several Member States were reluctant or hostile, especially those concerned about the impact on financial centres, market liquidity or the relocation of trading activity. The United Kingdom, Sweden and the Netherlands were among the most vocal opponents in the political debate.

As unanimity proved impossible, the debate shifted towards enhanced cooperation. In 2012, eleven Member States requested authorisation to proceed together: Belgium, Germany, Estonia, Greece, Spain, France, Italy, Austria, Portugal, Slovenia and Slovakia. The Council authorised enhanced cooperation in January 2013, and the Commission tabled a revised proposal in February 2013 for these participating countries. Estonia later withdrew from the process, leaving ten participating Member States. The use of enhanced cooperation was politically significant, as it would have been the first case of such a procedure in the field of taxation.

Despite this narrower framework, negotiations never reached a conclusion. The participating Member States continued to disagree on the scope of the tax, the treatment of derivatives, the residence and issuance principles, the allocation of revenues and the possible effects on non-participating Member States. The proposal remained blocked in the Council for years. In 2023, the Commission stated that the prospects of reaching an agreement were limited and that there was little expectation of an agreement in the short term. In its 2026 work programme, the Commission indicated its intention to withdraw the proposal.

The lesson for the present proposal is not that an EU FTT is impossible, but that its design must avoid the main pitfalls of the 2011–2013 project. The proposal examined here is therefore much less ambitious than the earlier European project. It does not seek to tax all financial instruments, all markets and all financial

actors. It does not include bonds, derivatives or foreign-exchange transactions at the adoption stage. Nor does it attempt to tax all gross intraday transactions. Instead, it focuses on equity transfers, following the logic of existing national schemes such as the British stamp duty and the French FTT.

This narrower design responds directly to several of the issues on which the earlier negotiations became blocked. It relies on a tested tax base, limits the administrative complexity associated with derivatives and other instruments, and reduces relocation risks by using the issuance principle rather than the location of trading venues or intermediaries. This does not mean that reluctant Member States, notably Sweden and the Netherlands, would necessarily support the proposal, since their opposition also reflects broader political concerns about new EU own resources. But it does mean that the debate would be framed differently: the key question would no longer be whether a comprehensive FTT is technically workable, but whether Member States are willing to allocate part of a narrow, tested and enforceable tax base to the EU budget.

4 Revenue potential at Member State level

The revenue estimates presented here follow an inference-based approach, rather than a purely hypothetical one (Capelle-Blancard & Persaud, 2025). The method is anchored in the observed revenue of the French FTT and then applied to equity trading volumes in other Member States. This is deliberately conservative: rather than assuming that the full statutory tax rate applies to all market transactions, it starts from what the French tax actually raises under the existing design, with its exemptions, its daily netting mechanism and the exclusion of intraday trading.

The reference year is 2024. In France, the FTT raised EUR 1,860 million, including EUR 528 million allocated to the Agence française de développement. According to ESMA[6], the total value of equity transactions in France in 2024 was EUR 3,502,800 million. The implicit tax ratio is therefore:

$$\frac{1,860}{3,502,800} = 0.0531\%.$$

This figure is much lower than the statutory rate of the French FTT, which was 0.3% in 2024 (0.4% since April 2025). It implies that the effectively taxed base represents only:

$$\frac{0.0531\%}{0.3\%} = 17.7\%$$

of total equity trading volumes. In other words, the implicit exemption or out-of-scope rate is approximately 82.3%. This reflects the narrowness of the current French design: the tax applies to transfers of ownership recorded at the end of the day, not to all intraday transactions. Paradoxically, the most short-term transactions are therefore largely left outside the tax base.

The same implicit tax ratio is then applied to the equity trading volume of each Member State.[7] The estimate at a 0.3% statutory rate is given by:

$$R_i^{0.3} = T_i \times \frac{1,860}{3,502,800},$$

[6] *ESMA statistics on securities and markets*, ESMA11-239717167-20877.

[7] For some Member States, including Luxembourg, ESMA reports no equity trading volume in the dataset used for this exercise. These entries are therefore kept at zero for consistency with the ESMA data. This should not be interpreted as meaning that these countries have no financial-market activity. Rather, their recorded equity trading volumes are either absent from the ESMA table or extremely small in alternative sources. For Luxembourg, for example, World Bank and WFE-based figures are only around EUR 36–37 million in 2024, which would imply a negligible revenue estimate under the methodology used here.

where T_i is the total equity trading volume in Member State i. The estimate at a 0.5% rate is obtained by assuming a proportional increase in revenue:

$$R_i^{0.5} = R_i^{0.3} \times \frac{0.5}{0.3}.$$

Table 1.2 reports the revenues estimated using this approach for each EU Member State.[8]

Overall, an EU-wide equity transfer tax at a 0.5% rate would raise approximately EUR 8.3 billion per year before any additional behavioural adjustment. If a 20% reduction in trading volumes were applied, in line with the conservative assumption used in previous work, the estimate would fall to around EUR 6.7 billion per year. The plausible order of magnitude is therefore approximately EUR 6.5–8.3 billion per year.

This should be interpreted as an estimate for a narrow tax on equity transfers, not as an estimate for a broader FTT including bonds, derivatives or intraday transactions.[9]

The distribution of revenues would be highly concentrated. France alone would account for about 37% of total EU revenue, followed by the Netherlands with 23.5% and Germany with 19.1%. Together, these three countries would generate almost 80% of the total. Including Italy brings the share to around 86%. This concentration reflects the geography of equity trading within the EU rather than any specific assumption about tax capacity or political preferences. [10]

This concentration is politically important, but it should be interpreted with caution. The estimates above allocate potential revenues according to recorded equity trading volumes, not according to the Member State of incorporation of the issuer or the residence of the final investor. They therefore identify where trading activity is recorded, not which Member State would economically bear the tax under an issuance-based EU design. This distinction is especially important for countries such as the Netherlands, where recorded equity trading volumes are large. The proposal should not be presented as a national levy on the Member State hosting the trading platform, but as an EU own resource levied on transfers of EU-issued shares, with the legal basis attached to the security rather than to the trading venue.

The political design should therefore avoid treating the distribution of recorded trading volumes as a distribution of national contributions. A more robust presentation would distinguish three issues: the place where transactions are recorded, the securities that fall within the legal scope of the tax, and the final allocation of revenues to the EU budget. For Member States with large trading platforms but no existing FTT, the central point is that the tax would not be a charge on the national budget, but a levy on financial-market transactions involving EU-issued shares. The treatment of existing national FTT revenues

[8]The Member State allocation is based on observed equity trading volumes reported in the ESMA dataset, rather than on the headquarters of the issuing firms. It should therefore be read as an operational approximation, not as a precise legal allocation under the issuance principle. Existing national FTTs are not deducted from these gross estimates. The figures therefore measure gross revenue potential, not the net additional resources that would accrue to the EU budget after coordination with existing national schemes.

[9]These illustrative figures differ from previous estimates of FTT revenues (Capelle-Blancard & Persaud, 2025) for methodological reasons. In earlier work, transaction volumes were based on a combination of World Bank and Refinitiv data for 2022, and revenues were estimated by assuming that 15% of total turnover would remain taxable after exemptions and that trading volumes would fall by 20% after the introduction of the tax. At a 0.5% statutory rate, this amounts to applying an effective revenue ratio of approximately 0.06% to total trading volumes. The Member State estimates reported here use ESMA trading volumes instead, and apply the implicit French revenue ratio observed in 2024, scaled from the French statutory rate to a 0.5% rate. The difference between the two sets of results therefore reflects both the use of a different data source for trading volumes and a different effective tax ratio. These figures should be read as illustrative orders of magnitude rather than as directly comparable estimates.

[10]As an illustrative international benchmark, applying the same implicit revenue ratio to WFE equity trading volumes gives much larger orders of magnitude for major non-EU markets: approximately EUR 116 billion for the United States, EUR 6.9 billion for Japan, EUR 28.6 billion for China, and EUR 178 billion at the world level. These figures should be interpreted with great caution. They are not directly comparable with the ESMA-based Member State estimates and are provided only as indicative orders of magnitude. For the EU, WFE data are not used for revenue estimation because they produce a much lower aggregate than ESMA and do not provide a satisfactory allocation of trading activity across Member States.

is a separate political-design issue, discussed above, and should not be inferred from the distribution of recorded trading volumes.

Table 1.2: Estimated revenues by EU Member State

Member State	Code	Equity trading volume EUR million	Estimated revenue EUR million, 0.5% rate
Austria	AT	29,800	26.4
Belgium	BE	69,000	61.1
Bulgaria	BG	200	0.2
Cyprus	CY	900	0.8
Czechia	CZ	4,300	3.8
Germany	DE	1,802,500	1,595.2
Denmark	DK	128,600	113.8
Estonia	EE	100	0.1
Spain	ES	271,900	240.6
Finland	FI	91,900	81.3
France	FR	3,502,800	3,100.0
Greece	GR	25,700	22.7
Croatia	HR	300	0.3
Hungary	HU	6,700	5.9
Ireland	IE	272,800	241.4
Italy	IT	615,200	544.5
Lithuania	LT	100	0.1
Luxembourg	LU	0	0.0
Latvia	LV	0	0.0
Malta	MT	0	0.0
Netherlands	NL	2,215,800	1,961.0
Poland	PL	71,200	63.0
Portugal	PT	28,100	24.9
Romania	RO	2,200	1.9
Sweden	SE	277,000	245.1
Slovenia	SI	500	0.4
Slovakia	SK	0	0.0
European Union	EU27	9,417,600	8,334.6

5 Responses to common objections

The debate on FTTs is marked by a recurring set of objections. Many of them are serious and should not be dismissed. However, they often refer to very broad FTT schemes, whereas the proposal considered here is narrower: a tax on equity ownership transfers, based on the issuance principle, at a moderate rate. This distinction is crucial. The question is not whether any possible FTT would be desirable, but whether this specific design can provide a robust and workable own resource.

1. **The FTT would reduce market liquidity.**

   This objection is partly correct but often overstated. An FTT increases the cost of trading and is therefore expected to reduce trading volumes (International Monetary Fund, 2010). The key point, however, is that trading volume and useful liquidity are not the same thing. A reduction in turnover does not necessarily imply that investors are unable to trade at reasonable cost, especially if the tax is low, applies only to equity ownership transfers, and preserves exemptions for genuine market-making activities.

   The evidence on the French FTT is particularly useful in this respect. Colliard & Hoffmann (2017) show that the tax reduced trading activity and changed market composition, but they do not find evidence of a collapse in market quality. In particular, the French experience does not support the claim that a low-rate equity FTT necessarily destroys liquidity or increases volatility. The relevant lesson is therefore more nuanced than either side of the debate sometimes suggests: trading volumes may decline, but this does not automatically translate into a significant deterioration of useful liquidity.[11]

   The Swedish case points in the same direction, but for a different reason. It is often presented as evidence that FTTs are unworkable. In fact, it is mainly evidence that design matters. The Swedish tax was vulnerable because it was linked to domestic brokers and trading activity located in Sweden. Transactions could therefore be relocated abroad, notably through foreign intermediaries, without changing the underlying securities. This is precisely the weakness that an issuance-based design is meant to avoid. Under the proposal considered here, the tax would follow the security itself: a share issued by a company incorporated in a participating Member State would remain within the scope of the tax regardless of where the transaction is executed.

2. **The FTT would increase volatility.**

   The theoretical effect of an FTT on volatility is ambiguous: it may reduce liquidity and thereby increase volatility, but it may also reduce very short-term noise trading and self-reinforcing speculation. The issue should therefore be assessed empirically.

   The available evidence from recent European equity FTTs does not support the claim that low-rate transaction taxes mechanically increase volatility. Studies of the French FTT find no statistically significant increase in volatility after the introduction of the tax, despite a reduction in trading volumes (Capelle-Blancard & Havrylchyk, 2016; Colliard & Hoffmann, 2017; Gomber et al., 2016; Meyer et al., 2015). This result is robust across several empirical analyses using different control groups, time windows and data frequencies. Similar evidence from Italy and Spain also does not point to a major deterioration in market quality following the introduction of equity FTTs (Cappelletti et al., 2017; González-Fernández et al., 2026; Hvozdyk & Rustanov, 2016).

[11] Moreover, the literature on individual investors shows that more frequent trading often reduces net performance (Barber & Odean, 2000, 2001; De Bondt & Thaler, 1995; Odean, 1999; Shleifer, 2000).

The empirical conclusion is therefore cautious but important: a poorly designed FTT could in principle affect volatility, especially if it impaired liquidity. However, the experience of modern, low-rate equity FTTs suggests that this is not what happens under designs close to the one proposed here. The relevant risk is not volatility per se, but poor design; this is why the proposal remains limited to equity ownership transfers, uses a moderate rate, and preserves exemptions for genuine market-making activities.

3. **The FTT would raise the cost of capital for firms.**

   This objection relies on an apparently straightforward chain of reasoning: a transaction tax is capitalised into equity prices; equity values fall; the cost of equity rises; and the firm's WACC increases. This channel should not be dismissed. But it depends on a key intermediate step: the tax must materially impair useful liquidity. If the tax reduces trading volumes without significantly affecting market quality or liquidity, the link between the transaction tax and the cost of capital becomes much weaker.

   Moreover, the tax does not increase trading costs in the same way for all investors. It is most costly for short-horizon investors who trade frequently. For long-term investors, by contrast, the cost is amortised over the holding period and becomes small on an annual basis. This is one of the merits of the tax: it increases the relative cost of short-term turnover without significantly penalising long-term shareholding.

   This point also connects with a broader literature on the hidden costs of excessive liquidity and investor short-termism. Theoretical work has long emphasised that very liquid markets may weaken shareholders' incentives to monitor firms, because dissatisfied investors can exit rather than exercise control (Bhide, 1993; Coffee, 1991). Empirical studies similarly show that short investment horizons and high portfolio turnover can be associated with managerial myopia, lower long-term investment, reduced R&D, distorted investment decisions and stronger price pressures during market shocks (Aghion et al., 2013; Bushee, 1998; Cella et al., 2013; Cremers et al., 2020; Derrien et al., 2013; Garel & Petit-Romec, 2017). The relevant issue is therefore not simply whether the tax is capitalised into prices, but whether it changes the balance between short-term trading and long-term ownership in a way that harms or improves firms' financing conditions.

   This is why the empirical evidence on liquidity is decisive. The theoretical link between liquidity and expected returns is well established (Amihud, 2002; Amihud & Mendelson, 1986). But the empirical relevance of this channel for a low-rate equity transfer tax is much less clear. Evidence on the French FTT shows that trading volumes declined, but the effects on market quality were limited and did not provide evidence of a large disruption to liquidity. If the liquidity channel is weak or breaks at this stage, there is little reason to expect a material effect on firms' cost of capital.

   Direct evidence is also reassuring. Do (2025) studies the 2012 French FTT and finds a positive effect on corporate investment, especially where the tax induced a shift from short-term to longer-term ownership. This suggests that any increase in transaction costs may be offset by a reduction in short-termism, rather than mechanically raising firms' financing costs.

4. **The FTT would harm investment and competitiveness.**

   This objection assumes that the presence of a FTT makes a financial centre unattractive. Existing experience suggests otherwise. The United Kingdom has maintained a stamp duty on share transactions for centuries while remaining one of the world's leading financial centres. France, Italy and

Spain have also introduced modern equity FTTs without undermining the functioning of their equity markets.

Competitiveness concerns should therefore be assessed in relation to the design of the tax. A badly designed tax can create distortions. A tax based on the issuance principle, applied at a moderate rate and limited to equity transfers, is much less likely to damage competitiveness than a tax based only on the location of intermediaries or trading venues.

5. **The FTT would lead to relocation.**

   As the Swedish example illustrates, relocation is a serious risk when the tax is based on the location of the broker, the exchange or the intermediary. This is not the logic of the proposal considered here.

   Under the issuance principle, the tax follows the security, not the marketplace. A share issued by a company in a participating Member State remains within the scope of the tax even if it is traded through a foreign intermediary or on an alternative platform. This substantially limits the scope for relocation, because moving the transaction does not remove the underlying security from the tax base.

6. **The FTT would be easy to avoid.**

   Avoidance is possible for any tax, but the risk is much lower when the tax is attached to the transfer of legal ownership. The British stamp duty illustrates this logic: the tax is connected to the recognition and settlement of ownership. The French system also shows that an equity transfer tax can be implemented in a modern, highly internationalised market.

   The main remaining issue is substitution towards untaxed instruments or arrangements, including derivatives. This is a valid concern. However, the proposal examined here is deliberately conservative and focuses on the most robust part of the tax base: equity ownership transfers. Additional anti-avoidance rules could be considered if substitution became significant, but the existence of possible avoidance margins is not a reason to abandon the tax altogether.

7. **The FTT would hit ordinary savers.**

   This objection is often politically powerful but economically incomplete. The direct payer may be the buyer of the share, but the economic incidence of the tax depends on trading behaviour, portfolio structure and market intermediation. Ordinary savers typically trade much less frequently than professional intermediaries or short-term investors. For buy-and-hold investors, the effective annual cost of a small transaction tax is not significant.

   The French case suggests that a substantial share of the tax would also be collected from foreign investors. In 2024, non-residents held 50% of the capital of French-resident CAC 40 companies. Under the (plausible) assumption that trading shares are broadly proportional to ownership shares, roughly half of the revenue from an issuance-based tax on French shares would therefore be collected from non-resident investors. For an EU-wide tax, the share paid by non-EU investors would require a dedicated calculation, since intra-EU cross-border holdings would no longer count as external to the Union. The French evidence nevertheless shows that such taxes are not borne only by domestic households.

   The redistributive profile of the tax is also important. Equity ownership is highly concentrated among wealthy households. In the euro area, the wealthiest 10% of households own about 82% of directly

held listed equities; in France, the concentration is even higher, at close to 88%.[12] By contrast, direct share ownership is limited among the rest of the population. Even when the FTT is ultimately borne by households, it therefore falls disproportionately on wealthier investors and more frequent traders, rather than on ordinary savers. This makes the FTT more progressive than broad-based taxes on labour income or consumption.

8. **The FTT would penalise market-making and useful liquidity provision.**

   This is a design issue rather than a decisive objection. The purpose of the tax is not to penalise genuine liquidity provision, but to tax equity ownership transfers while preserving the market functions that are necessary for orderly trading. Existing FTTs already address this issue through clear exemptions. The French FTT, for example, exempts market-making activities carried out by investment firms or credit institutions, including when these activities are conducted abroad. It also exempts market-making activities carried out on behalf of the issuer in order to support the liquidity of its securities. These exemptions are explicitly designed to protect useful liquidity provision.

   The key challenge is therefore to calibrate exemptions carefully. If they are too narrow, useful liquidity provision may be affected. If they are too broad, the tax base is unnecessarily eroded.

9. **The FTT would be administratively complex to collect.**

   This is an important concern, but it is also one of the reasons for limiting the proposal to equity ownership transfers. As explained above, the tax can rely on existing settlement, reporting and securities-registration infrastructures, rather than on a wholly new administrative system. The UK stamp duty and the French FTT show that such taxes are technically feasible.[13]

   That said, the quality of the collection mechanism matters. The French experience also shows that transparency, access to data and administrative control are important. A European own resource should therefore be designed with clear reporting obligations and strong cooperation between tax authorities, market supervisors and settlement infrastructures.

6 Review of existing surveys on public opinion

Public opinion is one of the relative strengths of the FTT proposal. The available evidence should nevertheless be interpreted with caution. The most detailed EU-wide survey is now somewhat dated, while the most recent survey evidence covers only a limited number of Member States. Taken together, however, the results point to a consistent pattern: financial transaction taxes tend to attract broad public support, especially when they are presented as a way to make the financial sector contribute to public goods, development, climate action or the costs of crises.

The main EU-wide reference remains the 2011 Eurobarometer survey commissioned by the European Parliament in the aftermath of the financial crisis.[14] In that survey, 61% of Europeans supported the principle of a tax on financial transactions, while 26% were opposed and 13% expressed no opinion. Support was higher in euro area countries, at 63%, than in non-euro area countries, at 54%. The wording of the

[12] https://www.afg.asso.fr/app/uploads/2025/02/Etude-AFG-OEE-2025.pdf

[13] The administrative challenge would be greater for possible extensions, especially to intraday transactions, derivatives, foreign exchange or crypto-assets. This is why these extensions are not included in the core proposal.

[14] European Parliament, *Eurobarometer 75.2: Europeans and the Crisis*, Analytical synthesis, June 2011.

question explicitly stated that the tax would be very low and would apply to transactions between financial operators, not to the general public.

The same survey also provides useful information on the reasons behind public support. Among respondents in favour of the principle of the tax, the main motivation was to combat excessive speculation and help prevent future crises, followed by the idea that financial actors should contribute to the costs of the crisis. Reducing public deficits and financing innovative policies, including climate, environment and development aid, were also mentioned, but less frequently. This suggests that the public appeal of the FTT is linked not only to revenue-raising, but also to a broader perception of fairness in the taxation of the financial sector.

The objections expressed by opponents in the 2011 survey were also informative. Among those opposed to introducing the tax at EU level as a first step, the main concern was feasibility: some respondents believed that such a tax could only be introduced globally. Other concerns related to competitiveness, the risk that only European financial actors would contribute, and possible capital outflows from the EU. These objections closely mirror the arguments raised in the policy debate. They also reinforce the importance of explaining why the proposal considered here is narrower, issuance-based, and modelled on existing national systems.

More recent evidence is provided by a 2024 survey conducted by Focus 2030 and Stack Data Strategy in France, Germany and Italy, ahead of the European Parliament elections.[15] The survey was carried out between 16 and 22 February 2024, with representative samples of around 1,500 respondents in each of the three countries. It found that 57% of respondents supported a European financial transaction tax, while 80% were either in favour or would not oppose such a tax if it were used to finance the fight against global poverty and climate change. Only 13% opposed the measure. Support, or non-opposition, was highest in France, at 82%, with only 9% opposed.

Available surveys suggest that the FTT is more popular than many other tax instruments, especially when framed as a modest levy on financial transactions rather than a tax on ordinary households. From a political communication perspective, the strongest framing is therefore not technical harmonisation, but fairness: a small contribution from financial-market activity to finance common European and global priorities.

7 Possible extensions

The proposal examined here is intentionally limited to equity ownership transfers. This narrow scope is useful for adoption, but it could later serve as a platform for two main extensions: first, the inclusion of intraday equity transactions; second, the extension of the tax base to other financial instruments, such as derivatives or crypto-assets.[16]

These extensions may also be relevant for the political treatment of existing national FTTs. Countries that already tax equity transfers could use them to broaden their own national base, or the EU could consider them at a later stage once the core equity-transfer tax has been established. This would preserve the simplicity of the initial own-resource proposal while recognising that, from an economic point of view, there are good reasons not to leave intraday transactions and close equity-derivative substitutes permanently

[15] Focus 2030 and Stack Data Strategy, *Survey: citizen opinions in France, Italy and Germany on the role of the European Union in international development ahead of the elections*, March 2024.

[16] Another possible extension would be a green FTT, either through the allocation of revenues to climate and environmental objectives or through differentiated rates linked to issuers' environmental performance; see (Capelle-Blancard, 2027).

outside the tax base.

7.1 Extension to intraday equity transactions

The most natural extension would be to include intraday equity transactions. Under the French model, the tax applies to net acquisitions recorded at the end of the trading day. Transactions opened and closed within the same day are therefore outside the effective tax base, including many high-frequency and very short-term strategies. This is a major limitation: the tax applies to investors who hold shares at least until the end of the day, while many of the shortest-term transactions remain untaxed.

Including intraday transactions would broaden the base, increase revenues and improve the coherence of the tax. In the French case, the effectively taxed base represents only a small share of total equity trading volumes, precisely because the tax is collected on transfers of ownership rather than on all transactions. From an economic point of view, it is difficult to justify taxing longer-term investors while leaving the fastest and most speculative transactions outside the scope of the tax.

The main obstacle is operational rather than conceptual (Capelle-Blancard, 2024b). A tax on end-of-day ownership transfers can be collected through central securities depositories such as Euroclear. A tax on intraday transactions, by contrast, requires reliable information at the level of order execution and trading venues. This would imply a change in the collection architecture. One possible route would be to rely more directly on transaction-level reporting under MiFID II, which already provides regulators with detailed information on market transactions.

This extension should not be confused with the taxation of genuine liquidity provision. Market-making is an economic function, not a trading horizon. Some intraday transactions contribute to liquidity, but many others do not. Existing FTTs already include targeted exemptions for market-making activities, including in France. A blanket exclusion of all intraday trading is therefore not the right way to protect liquidity. It amounts to adding a broad and poorly targeted exemption on top of already existing protections. A well-designed EU FTT should preserve clear market-making exemptions, but should not exclude all intraday trading by default.

7.2 Extension to other financial instruments

A second extension would consist in broadening the tax base beyond equity transfers. The earlier European Commission proposal covered not only shares, but also bonds and derivatives. Such a broader base would raise larger revenues and reduce substitution towards untaxed instruments. It would also address a legitimate concern: if only equity transfers are taxed, investors may replicate some exposures through derivatives or other instruments that are economically close to the taxed transaction.

This extension is, however, more complex than the inclusion of intraday equity transactions. Derivatives raise difficult questions of valuation, netting, maturity, notional amounts and economic equivalence. A simple tax on the notional value of derivatives would not be appropriate for all contracts, while a tax on premia or market values may be harder to harmonise and enforce. Crypto-assets raise additional issues, including the identification of taxable events, the location of platforms and intermediaries, and the treatment of decentralised transactions.

For these reasons, the core proposal should remain focused on equity transfers. Once the legal and administrative framework is established, the EU could consider targeted extensions to instruments that are close substitutes for equity transactions, especially equity derivatives. Broader extensions to bonds, foreign

exchange or crypto-assets should be treated as separate policy choices, requiring specific design and impact assessment. The priority is therefore sequential: first establish a robust equity transfer tax; then broaden the base where substitution risks, feasibility and revenue potential justify doing so.

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Sources and construction of Table 1.1

The table is based primarily on official tax-administration, budgetary and market-infrastructure sources. For each jurisdiction, the legal scope and rates were checked against the relevant tax authority, legislation, stock exchange or central securities depository documentation. Revenue figures are reported only when a reasonably identifiable official or quasi-official figure is available. They are converted into euros only to provide an order of magnitude and should not be interpreted as harmonised or directly comparable fiscal data.

The classification is deliberately conservative. A country is marked as covering equity when shares or comparable equity securities are part of the main effective tax base. Bonds and derivatives are reported separately because they raise different design and valuation issues. Formal or marginal components, such as high-frequency trading provisions or narrowly defined derivatives taxes, are not treated as equivalent to a broad-based tax on those instruments.

France: Assemblée nationale, report on the French financial transaction tax, reporting a 2024 yield of EUR 1,860 million.

Italy: indicative figure around EUR 0.5 billion, based on recent Italian public reporting and budget discussions. This figure should be treated cautiously unless replaced by a fully comparable MEF revenue series.

Belgium: OECD Revenue Statistics 2025, Belgium detailed country table, "Tax on stock exchange transactions", EUR 429 million in 2023.

Ireland: Revenue Commissioners, Annual Report 2025, "Stamp Duty on Shares", EUR 540 million.

United Kingdom: HMRC, Annual Stamp Tax Statistics 2024 to 2025, stamp taxes on shares and other liable securities, GBP 4,320 million.

Finland: Finnish Tax Administration, transfer tax guidance. The general rate for corporate stock and other securities is 1.5%, but purchases of listed shares on the stock exchange are usually exempt. Purchases of listed shares outside the stock exchange may remain taxable at 1.5%. https://www.vero.fi/en/individuals/property/transfer-tax/corporate-stock/

Switzerland: Federal Tax Administration, 2025 activity report, securities transfer stamp tax (Umsatzabgabe), CHF 1.534 billion.

Hong Kong: Hong Kong Inland Revenue Department / Government of Hong Kong, stamp duty collection from stock transactions, HKD 52 billion in 2024–25.

South Korea: National Assembly Budget Office, 2024 National Tax Revenue Performance and Causes of Changes, securities transaction tax revenue, KRW 4.8 trillion.

China: Report on China's central and local budgets, securities transaction stamp duty revenue, RMB 127.588 billion in 2024.

Taiwan: Ministry of Finance, Analysis of Tax Collection in 2024; securities transaction tax increased by NT$90.7 billion, implying total revenue of around NT$288 billion.

India: https://incometaxindia.gov.in/Government of India, Income Tax Department, direct tax collection release for FY2024–25 as of 17 December 2024, reporting Securities Transaction Tax collection of INR 40,114 crore.

United States: Securities and Exchange Commission, Section 31 transaction fee guidance and FY2026 fee-rate advisory. Section 31 fees are paid by national securities exchanges and national securities associations on covered sales, and are calibrated to produce fee collections equal to the SEC's regular appropriation. Certain listed put and call options issued by the Options Clearing Corporation are covered, with the fee computed on the option premium, whereas options on security indexes are excluded. The FY2026 rate is USD 20.60 per USD 1,000,000 of covered sales from 4 April 2026. https://www.sec.gov/rules-regulations/fee-rate-advisories/section-31-transaction-fees-basic-information-firms https://www.sec.gov/rules-regulations/fee-rate-advisories/2026-2